

Her tragic mistake wasn't negotiating weakness, but financial illiteracy. The dealer gave her exactly what she requested, and by doing so, she got ripped off. She bought a car for thousands above sticker and borrowed at near illegal rates. The dealer gave my sister exactly what she wanted: a car payment at \$399/month, and all they did was fill-in the blanks. Her loan was 60 months (when it should have been at 48) and at an interest rate of 18.8% (when it should have been 9%). Ultimately, she'd pay twice the cost of the car because of one error—the error of being financially illiterate.

MANAGING A MONEY SYSTEM DEMANDS FINANCIAL LITERACY

You can't build a financial empire if you're ignorant of basic finance and economics. These disciplines are the building blocks to a financial empire, and without them the Sidewalk becomes a danger. Remember, more money doesn't solve money problems. If not educating yourself after graduation is one step on the Sidewalk, the other is not educating yourself on basic finance and economics.

The world is full of financial illiterates; they've failed driver's education and don't know the rules of the road. As kids, we aren't taught money management or basic financial discipline. We're abandoned in a financial jungle swarming with predators. Many perfectly intelligent people lack rudimentary knowledge of basic financial concepts such as:

- Interest rates
- Taxable and non-taxable yields
- Amortization of mortgages
- The balancing of a check book
- Basic percentage calculations
- Calculating return on investment
- Why stocks rise and fall
- Why a guaranteed 15% return on a bank CD is screaming, "scam!"
- How stock options work, such as calls and puts
- Why insurance exists
- How a mutual fund works
- What bonds are and how they rise and fall
- Global currency

To successfully leverage a money system for passivity, you have to familiarize yourself with financial instruments that fuel the money system. Do you know how to calculate simple interest? Return on investment? Do you know what happens to the price of a bond when interest rates go up? Can you figure out the difference between a tax-free yield and a taxable yield? These concepts harden your road to wealth. Financial illiterates can't manage money systems. To succeed on your road